



The 7 Costly Mistakes Presale Buyers Make

And How to Avoid Losing \$50,000 – \$100,000

By **Uzair Muhammad** | **Presale Properties Group**

Vancouver's Top Presale Expert | 400+ Families Helped | \$200M+ in Presale Transactions

A Story That Could Have Been Prevented

"I've been ruined. Me and my elderly parents in India. Our life savings are gone." — Sudip Sehgal, CBC News, January 2024

In December 2021, Sudip put down **\$82,000** on a South Surrey townhouse. When completion arrived, his mortgage fell through as rates doubled from **2.5% to 6.5%**. He found two buyers to take over — the developer said NO. He lost his deposit. The developer sold the unit to someone else.

❏ 2023–2024 became the worst period for presale buyers in Metro Vancouver history. Hundreds lost \$50K–\$100K+ in deposits.



Don't Make These 7 Mistakes

Most presale losses come from avoidable mistakes. Start here.

01

1. Not Reading the Disclosure Statement

Review the fine print so you understand risks, deadlines, and your rights before you commit.

02

2. Ignoring Completion Dates & Outside Dates

Know when the project is expected to finish and what happens if it gets delayed.

03

3. Not Understanding Assignment Terms

Check whether you can assign the contract, and what fees or restrictions apply.

04

4. Failing to Vet the Developer

Look into the builder's track record, reputation, and history of delivering on time.

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5. Not Knowing Fair Market Value

Compare recent sales so you know whether the price still makes sense at completion.

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6. Failing to Qualify for Mortgage at Completion

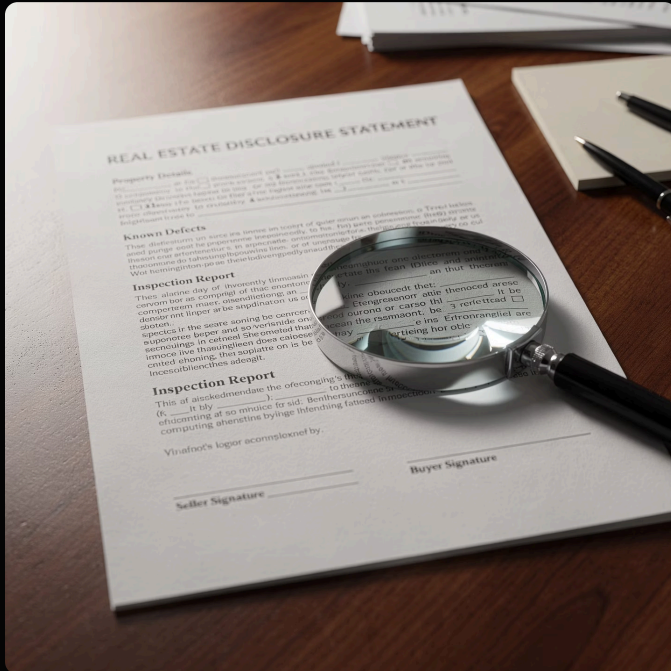
Re-check your financing early so higher rates or changed finances do not catch you off guard.

07

7. Using a General Agent Instead of a Presale Expert

Work with someone who understands presales, contracts, timelines, and exit strategy.

Not Reading the Disclosure Statement



□ The Problem

The Disclosure Statement is a **100–300 page legal document**. Most buyers skim and sign. It covers what you're actually buying, what developers can change (materials, layouts, sq ft), real completion timelines, and what happens if you can't close. to fit the block

Real Example

A buyer expected a gas fireplace, floor-to-ceiling windows, and 9-ft ceilings. At completion: no fireplace, shorter windows, 8.5-ft ceilings. **The buyer sued and LOST.**

How to Protect Yourself

- Actually read it — focus on variation clauses, assignment rights, deposit structure
- Hire a real estate lawyer (\$500–\$1,000) to review before signing
- Review all amendments — you have 7 days to rescind material changes

Ignoring Completion Dates & Outside Dates



The Problem

You plan your life around a June 2024 completion. An amendment arrives: **revised to March 2025, Outside Date September 2025**. A 9-month delay costs **\$20,000–\$40,000+** in extra rent, lost buyers, and disruption. Courts have ruled 6–12 month delays are NORMAL and NOT grounds for rescission.

How to Protect Yourself

- **Real formula:** Estimated Completion + 6–12 months = Realistic Expectation
- Check developer track record — first-time developers = HIGH RISK
- Build financial buffers — assume 6–12 months extra rent (\$18K–\$36K)
- Don't give landlord notice until you receive the "3 months to completion" email

MISTAKE #3

Not Understanding Assignment Terms

Life happens in 2–4 years: job moves, divorce, rate spikes. You try to assign your contract. Developer says: **"Assignment denied."** Your recourse? Almost zero. Even if approved, fees run **\$15K–\$20K+**.

Read Before Signing

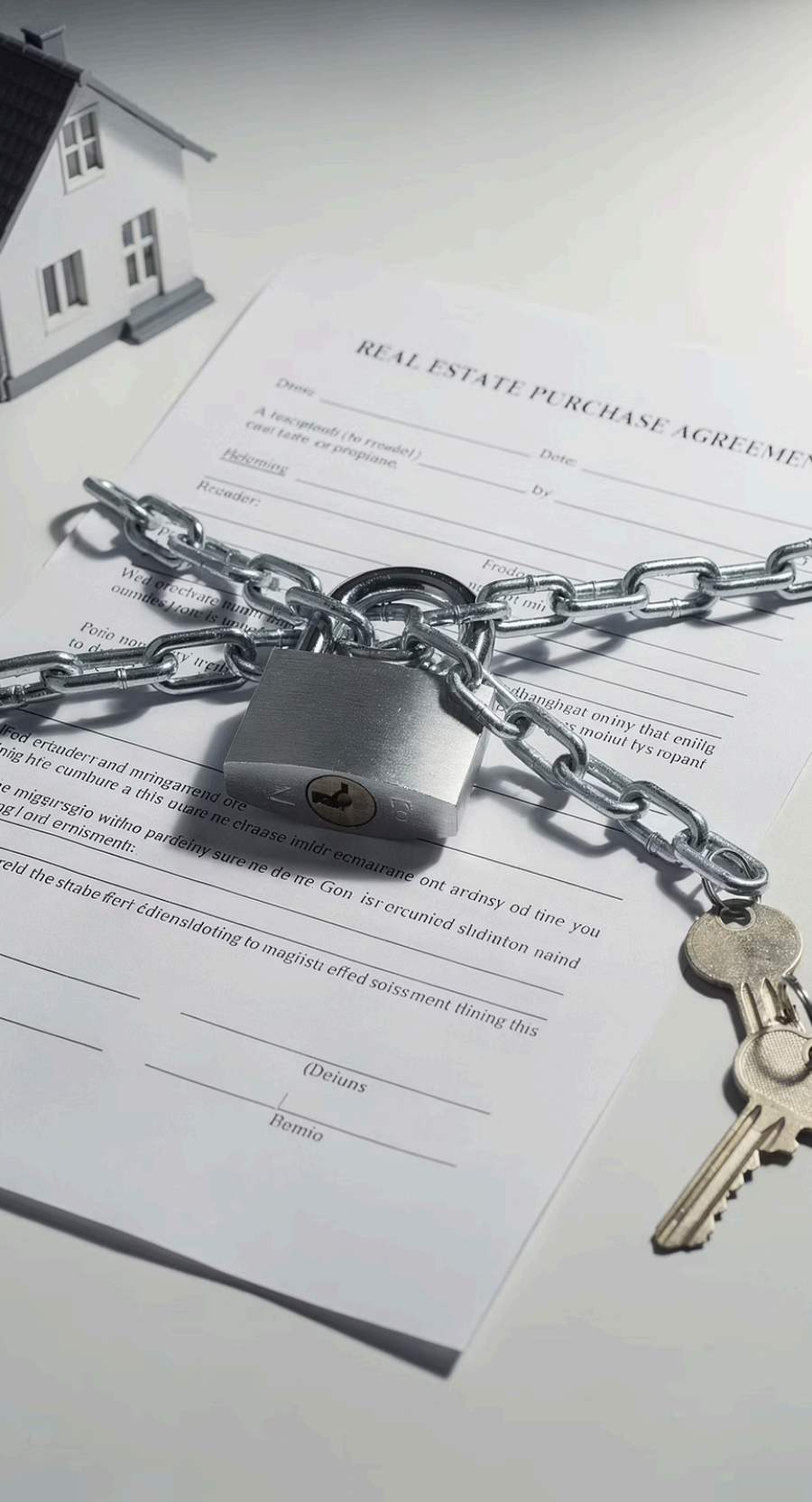
Is assignment allowed? What are the fees? Can they deny "reasonably"? (Almost meaningless.)

Golden Rule

Never buy unless you can afford to close even if rates double, income drops, or market crashes.

Have a Backup Plan

Can you rent it out? Hold as investment? Family member take over? If none work — **DON'T BUY.**



Failing to Vet the Developer

Real Failures

Thind Properties (2024–25)

4 Burnaby projects in receivership, \$190M debt

Coromandel (2023)

Creditor protection on \$700M across 16 projects

Siena at the Heights

31 buyers, \$5.3M in deposits held in limbo for 4 years

Trusted Names

Bosa (50+ yrs), Concord Pacific, Polygon (40+ yrs), Onni, Wesgroup, Ledmac

Red Flags — Walk Away

- No completed projects (website shows only "coming soon")
- Syndicate structure with no reputation
- Needs 70–80% presales before breaking ground
- Pricing 20–30% below comparables
- "Guaranteed returns" or high-pressure tactics

Not Knowing Fair Market Value

The Problem

With presales, no MLS comparables exist. Developers control ALL pricing. Prices rise **15–25%** from VIP to final release. One buyer purchased a 1-bed for **\$450K in 2022**. By 2025, comparable units sold for **\$420K** — underwater \$20K–\$30K before commission. and make it about real estate



How to Protect Yourself

- Analyze \$/sq ft across 5–10 presale projects — if 10%+ above average, negotiate or walk
- Compare to resale: new = +\$50–\$100/sq ft, parking/locker = +\$30K–\$50K
- Get a pre-purchase appraisal (\$500–\$1,000)
- Work with a presale specialist with access to shadow MLS data



MISTAKE #6

Failing to Qualify for Mortgage at Completion

Pre-approved at **2.5% for \$600K in 2022**. By 2025 completion, rates hit 6.5% — lender says you qualify for **\$420K, not \$600K**. Pre-approvals expire in 90–120 days; presales close in 2–4 years. Banks lend on CURRENT appraised value — a \$50K appraisal gap means \$40K+ more down payment needed.

→ **Stress Test at 8.5%**

Ask "Can I afford this at 8.5%?" — not today's rate

→ **Over-Save**

Save 25–30% down payment (not 20%) to protect against appraisal gaps

→ **Monitor Rates**

Check every 6 months during construction — act early if rates spike

→ **Protect Credit**

No new debt, no missed payments — a 50-point drop = 0.25–0.5% higher rate

Using a General Agent Instead of a Presale Expert

Most agents do **1–2 presale deals per year**. They treat presales like resales — show up, sign, collect commission. They won't warn you about variation clauses, won't vet developer financials, and won't negotiate assignment rights. They cost nothing upfront but could cost you **\$50K–\$100K**.

Capability	Presale Expert (Uzair)	Regular Agent (Most others)
Business Focus	80%+ of business is presales	Does the odd presale deal
Market Knowledge	In-depth presale market expertise	Surface-level understanding
Developer Connections	Strong relationships, early access	Limited developer insight
Project Selectivity	Avoids 8/10 projects — not great investments	Sells whatever is available
Ongoing Service	Monitors projects from day 1 to completion	Set it and forget it
Skin in the Game	Owns multiple units in the same projects	Rarely invests in what they sell
Portfolio Management	Strategic guidance on building wealth	Transaction-focused only
Market Timing	Knows when to act and when to wait	Pushes to close any deal

Ready to Buy Smart?

400+

Families Helped

\$200M

In Transactions

"I don't just sell presales. I invest in them alongside my clients." — **Uzair Muhammad** | Real broker

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